

Let's say, for example, that you're able to put \$1 million in a family trust. If you organize it correctly and get a rate of growth averaging 6 percent compounded (there are some very important tricks you need to know), your grandchildren could have \$18.4 million in 50 years.

But there's much more to this than money. In fact, money is the least of it, the easiest part of the whole program. Nor is it the biggest benefit. Not by a long shot. This is not about making or preserving money. It's not about gaining fame and fortune. It's not about living the good life of luxury and ease.

It's about building the kind of family that can maintain its wealth and independence over generations. This is no easy feat. It's against the odds. It's almost against nature itself. Nature always tries to drag a family back down to the ordinary. And most ordinary people don't have any wealth to speak of. So if you're going to have wealth—and hold on to it for longer than a single generation—you're going to have to do some rather extraordinary things.

Such as?

Well, once you've made money, you might think the hard part is over. You might think you don't have to take chances or work so hard. All you have to do is to put the money into "safe" investments and kick back, right?

Wrong. The "safest" investments always turn out to be the most destructive, from a long-term perspective. And besides, you can't afford the low returns that these supposedly safe investments bring. You need investment returns *higher* than average. That means you need an entirely different investment approach.

The key to this approach is that you have to learn to use time to your advantage. Time works against almost everybody. But if you want your family to maintain wealth over several generations, you have to make time work for you or you're doomed.

Time destroys fortunes in obvious ways, and in some ways that aren't so obvious. Each year that passes imposes costs: living costs, taxes, maintenance, and so forth. There are also investment costs: fees, commissions, charges. Plus, there are inevitable setbacks: bear markets, errors, oversights, inflation, crashes, fraudsters. All cost you money, sometimes big money.